

Chapter Review

Chapter Summary/Learning Objectives

6-1 Use the resource-based and institution-based views to answer why FDI takes place.

- The resource-based view suggests that the key word of FDI is D (direct), which reflects firms' interest in directly managing, developing, and leveraging their firm-specific resources and capabilities abroad.
- The institution-based view argues that recent expansion of FDI is indicative of generally more friendly policies, norms, and values associated with FDI (despite some setbacks).

6-2 Understand how FDI results in OLI advantages.

- Ownership refers to MNEs' possession and leveraging of certain valuable, rare, hard-to-imitate, and organizationally embedded (VRIO) assets overseas.
- Location refers to certain locations' advantages that can help MNEs attain strategic goals.
- Internalization refers to the replacement of cross-border market relationship with one firm (the MNE) locating in two or more countries. Internalization helps combat market imperfections and failures.

6-3 Identify different political views on FDI based on an understanding of FDI's benefits and costs.

- The radical view is hostile to FDI, and the free market view calls for minimum intervention in FDI.
- Most countries practice pragmatic nationalism, weighing the benefits and costs of FDI.
- FDI brings a different (and often opposing) set of benefits and costs to host and home countries.

6-4 Participate in two leading debates concerning FDI.

- (1) FDI versus outsourcing, and
- (2) facilitating versus confronting inbound FDI.

6-5 Draw implications for action.

- Carefully assess whether FDI is justified, in light of other options such as outsourcing and licensing.
- Pay careful attention to the location advantages in combination with the firm's strategic goals.
- Be aware of the institutional constraints governing FDI and enhance legitimacy in host countries.

Chapter 6: Investing Abroad Directly Chapter Review

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